TVS Credit Services Limited

September 10, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Long-term bank facilities	RBI	5,000.00	CARE AA+; Stable	Reaffirmed
Subordinate debt – I	SEBI	500.00	CARE AA+; Stable	Reaffirmed
Subordinate debt – II	SEBI	500.00	CARE AA+; Stable	Assigned
Non-convertible debentures -I	SEBI	500.00	CARE AA+; Stable	Reaffirmed
Non-convertible debentures -II	SEBI	500.00	CARE AA+; Stable	Reaffirmed
Non-convertible debentures -III	SEBI	600.00	CARE AA+; Stable	Reaffirmed
Non-convertible debentures -IV	SEBI	425.00	CARE AA+; Stable	Reaffirmed
Non-convertible debentures -V	SEBI	250.00	CARE AA+; Stable	Reaffirmed
Non-convertible debentures -VI	SEBI	825.00	CARE AA+; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Ratings assigned to bank facilities and debt instruments of TVS Credit Services Limited (TVS Credit) reflect strong support from its parent, TVS Motor Company Limited (TVSM; rated *'CARE AAA; Stable/ CARE A1+'*), through operational and business linkages, shared brand name, and periodic equity infusions on a need basis. As on June 30, 2026, TVSM held 80.76% stake in TVS Credit on a fully diluted basis, while the TVS Group collectively held 85.57%.

Ratings continue to factor in TVS Credit's diversified product portfolio, geographically diversified loan book, and a relatively diversified funding profile, underpinned by its demonstrated ability to raise funds for growth. However, ratings remain constrained by moderate profitability due to high operating costs and moderate but improving asset quality, considering the company's exposure to borrowers with modest credit profiles.

Ratings also factor in the proposed Composite Scheme of Amalgamation involving Home Credit India Finance Private Limited (HCIF), STPL Trading and Services Private Limited (STPL), and TVS Housing Finance Private Limited (TVS HF), with TVS Credit as the surviving entity. The scheme envisages a two-step consolidation, with STPL first being amalgamated with HCIF, followed by the amalgamation of HCIF and TVS HF with TVS Credit, consolidating the entities under TVS Credit. The proposed transaction is aimed at simplifying the group structure, enabling more efficient utilisation of capital and improving operational and management efficiencies, while also consolidating the group's non-banking financial companies (NBFCs) in line with Reserve Bank of India (RBI) directions. The scheme remains subject to requisite statutory, regulatory, and other approvals. Separately, HCIF already entered a Share Purchase Agreement (SPA) to acquire 100% of Varthana Finance Private Limited for ~₹967 crore, with the transaction currently pending for requisite regulatory approvals, including RBI approval. CARE Ratings Limited (CareEdge Ratings) expects the overall merger process to be completed before May 2027, subject to receipt of requisite approvals.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could, individually or collectively lead to positive rating action/upgrade:

- Continuing strong linkages with the parent, TVSM.
- Substantial increase in scale of operations and improvement in asset quality and profitability parameters with significant increase in return on total assets (ROTA) on a sustained basis.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.
[2]Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Negative factors: Factors that could, individually or collectively lead to negative rating action/downgrade:

- Significant deterioration in credit profile of parent, TVSM.
- Material dilution (less than 51%) in TVSM shareholding in TVS Credit.
- Significant deterioration in asset quality and delinquency levels on a sustained basis, resulting in a substantial impact on profitability indicators.
- Deterioration in capital adequacy parameters below regulatory requirement.

Analytical approach:

Standalone, factoring support from TVSM, the parent company, with whom TVS Credit shares brand name, operational, financial, and business linkages.

Outlook: Stable

The stable outlook is supported by a diversified product profile, strong fund-raising ability, and benefits from being part of the TVS group.

Detailed description of key rating drivers

Key strengths

Strong parentage and benefits derived from being part of TVS Group

TVS Credit benefits from strong financial, operational, and managerial backing from TVSM, which held an 80.76% stake as on June 30, 2026, on a fully diluted basis, while the TVS Group collectively owned 85.57%. Over the years, TVSM regularly infused capital into TVS Credit, demonstrating robust financial support and ensuring adequate capitalisation. Presence of TVSM's directors on TVS Credit's board underscores close managerial and strategic linkages. Operationally, TVS Credit leverages TVSM's extensive dealer network and shared brand name, playing a key role as a major financier for TVSM vehicles. Per the management, there are currently no plans to dilute TVSM's controlling stake in TVS Credit. CareEdge Ratings expects TVSM to continue extending support to TVS Credit.

Increasing scale of operations

TVS Credit's portfolio grew from ₹21,255 crore as of March 31, 2023 to ₹31,216 crore as of March 31, 2026, representing a three-year compounded annual growth rate (CAGR) of ~14%. Portfolio growth improved to 15% in FY26 from 3% in FY25, supported by healthy growth in key segments, particularly two-wheeler loans and consumer durables loans. The portfolio further increased by 4% to ₹32,518 crore as on June 30, 2026. CareEdge Ratings expects TVS Credit to continue scaling its operations, supported by TVSM's strong backing and the company's diversified product portfolio.

Diversified product portfolio and geographical diversification

TVS Credit maintains a well-diversified product portfolio, with the two-wheeler segment contributing the largest share at ~28% as on June 30, 2026. Consumer durables financing has gained significant traction, increasing to 22% as on June 30, 2026, from 19% in March 2026 and 14% in March 2025. The cross-sell segment (personal loans) remained stable at 15% as on June 30, 2026, unchanged from March 2026, compared to 17% as on March 31, 2025, indicating a calibrated approach to growth in the segment. The tractor segment declined further to 12% as on June 30, 2026, from 14% in March 2026 and 27% in March 2025, with growth in the segment moderated amid asset-quality considerations. The used commercial vehicle (UCV) segment marginally moderated to 10% as on June 30, 2026, from 11% as on March 31, 2026, while the used car segment remained unchanged at 8% during the period.

The company operates through over 60,500 distribution points and 190 offices across 34 states and union territories, supported by 5,000+ brokers and channel partners, and employs over 21,750 staff as on March 31, 2026. The company's portfolio is geographically diversified, with Tamil Nadu accounting for the highest exposure at 15% of total portfolio, and the southern region contributing 40% of the total portfolio, followed by western (25%), northern (17%), and eastern (19%) regions.

Adequate capital position

As on March 31, 2026, TVS Credit reported a capital adequacy ratio (CAR) of 19.40% (20.31% as on March 31, 2025), which moderated marginally to 18.52% as on June 30, 2026. The company continues to maintain a comfortable capital buffer in the regulatory minimum. Overall gearing stood at 5.00x as on March 31, 2026 (5.45x as on March 31, 2025) and further improved to 4.91x as on June 30, 2026.

Promoter support remains strong through regular equity infusions. In September 2023, Premji Invest acquired an 11% stake via primary and secondary rounds. In H1FY25, the company raised ₹330 crore from TVSM, HDFC Bank, Premji Invest, and PHI Research, followed by ₹200 crore in FY26 from TVSM, HDFC Bank, Premji Invest, and PHI Research, strengthening its capital position. CareEdge Ratings expects capitalisation to remain adequate, supported by timely infusions from the parent.

Diversified funding profile

TVS Credit maintains a well-diversified funding profile supported by a mix of low-cost bank borrowings and market instruments, including non-convertible debentures (NCDs), subordinated debt, external commercial borrowings (ECBs), commercial paper (CP), and Tier-I perpetual debt. Bank borrowings are well distributed across public and private sector banks, providing a stable funding base and enhancing financial flexibility.

As on March 31, 2026, bank borrowings constituted 76% of total borrowings (79% as on March 31, 2025), while NCDs, including subordinated debt and Tier-I instruments, accounted for 18% (20% as on March 31, 2025). ECBs represented 3% of total borrowings, compared to 1% a year earlier, while CP accounted for 1%, with the remaining borrowings sourced from other financial institutions. As on June 30, 2026, bank borrowings continued to account for 76% of total borrowings, while the share of NCDs, including subordinated debt and Tier-I instruments, moderated to 16%. ECBs remained at 3%, while CP increased to 4% of total borrowings, with the remaining borrowings sourced from other financial institutions. CareEdge Ratings expects the company to gradually increase its reliance on capital market borrowings in the medium term, while its strong association with the TVS Group is expected to support continued access to funding at competitive rates.

Key weaknesses

Moderate profitability levels

TVS Credit's profitability improved in FY26, with return on managed assets (ROMA) increasing to 2.80% from 2.63% in FY25, supported by lower credit costs and an improvement in the cost of borrowings. Net income margin (NIM) moderated to 13.13% from 13.40%, while yield on advances moderated to 21.96% from 22.31%; however, cost of borrowings improved to 7.39% from 7.85%, resulting in a marginal improvement in the interest spread to 14.57% from 14.46%. Operating expenses increased to 8.77% from 8.30% in FY26, reflecting continued scale-up of operations, while credit costs improved to 3.55% from 4.44%, supported by the improvement in asset quality, contributing to the improvement in profitability. In Q1FY27, ROMA stood at 2.39%, while NIM stood at 13.42% as on June 30, 2026. Credit costs improved to 3.37%, supported by the continuing improvement in asset quality, while operating expenses remained elevated at 9.70%. The company's ability to sustain profitability while managing operating expenses and credit costs as the portfolio scales remains a key monitorable.

Moderate but improving asset quality due to exposure to borrowers with modest credit profiles

The company's asset quality improved in FY26, with Gross Stage 3 (GS3) improving to 2.43% as on March 31, 2026, from 2.89% as on March 31, 2025, while Net Stage 3 (NS3) improved to 1.13% from 1.34% in the same period. Improvement continued in Q1FY27, with GS3 and NS3 further improving to 2.16% and 1.01%, respectively, as on June 30, 2026. Improvement was supported by active portfolio management and moderation of growth in segments showing early signs of stress. Portfolio-level internal thresholds across products enable growth allocation to be calibrated based on profitability and asset quality. Improvement was reflected in the delinquency profile, with 30+ days past due (DPD) improving to 5.27% and 90+ DPD to 2.43% as on March 31, 2026, from 7.78% and 2.89%, respectively, as on March 31, 2025; these further improved to 5.06% and 2.16%, respectively, as on June 30, 2026. The 180+ DPD bucket also improved to 1.25% as on June 30, 2026, from 1.43% as on March 31, 2026. However, the company's focus on self-employed customers in semi-urban and rural areas exposes it to income volatility, making asset quality maintenance critical in the near-to-medium term.

Liquidity: Adequate

The company's asset liability management (ALM) statement does not have negative cumulative mismatch in time buckets up to one year as on June 30, 2026. The company has unencumbered cash and cash equivalents of ₹2,462 crore as on June 30, 2026, which is sufficient for ~2 months of debt repayment. The company's ability to mobilise funds from banks at a competitive rate adds comfort and continuous capital support from the parent in times of need.

Applicable criteria

Definition of Default
Factoring Linkages Parent Sub JV Group
Rating Outlook and Rating Watch
Financial Ratios - Financial Sector
Non Banking Financial Companies

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

Headquartered in Chennai, TVS Credit is a subsidiary of TVSM. Established in 2008 as a step-down subsidiary of TVSM, which currently holds 80.76% stake as on June 30, 2026, on a fully diluted basis, TVS Credit commenced operations as a non-deposit-taking NBFC in 2010 and has since grown its loan book to ₹32,518 crore as on June 30, 2026. The company finances a range of products including two-wheelers, tractors, used cars, UCVs, business loans, consumer durables, three-wheeler loans, gold loans, and personal loans (predominantly to existing customers), primarily serving customers with limited access to bank financing.

Brief Financials (₹ crore)	31-03-2025	31-03-2026	30-06-2026
Standalone	A	A	UA
Total income	6,609	7,196	1,918
Profit after tax (PAT)	767	913	208
Assets under management (AUM)*	27,179	31,216	32,518
On-book gearing (x)	5.45	5.00	4.91
AUM* / tangible net worth (TNW) (x)	6.01	5.64	5.70
Gross stage 3 (%)	2.89	2.43	2.16
Return on managed assets (ROMA) (%)	2.63	2.80	2.39
Capital adequacy ratio (CAR) (%)	20.31	19.40	18.52

A: Audited; UA: Unaudited; Note: These are latest available financial results.
*Gross loan receivables.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non-convertible debentures - I	SEBI	Simple	INE729N07073	31-12-2024	8.25%	31-12-2027	525.00	CARE AA+; Stable
Debentures-Non-convertible debentures - II	SEBI	Simple	INE729N07081	03-03-2025	8.25%	03-03-2028	500.00	CARE AA+; Stable
Debentures-Non-convertible debentures - III	SEBI	Simple	INE729N07099	27-06-2025	7.50%	27-06-2028	550.00	CARE AA+; Stable
Debentures-Non-convertible debentures – IV	SEBI	Simple	INE729N07107	19-09-2025	7.55%	19-09-2028	525.00	CARE AA+; Stable
Debentures-Non-convertible debentures – V	SEBI	Simple	Proposed	-	-	-	175.00	CARE AA+; Stable
Debentures-Non-convertible debentures – VI	SEBI	Simple	Proposed	-	-	-	825.00	CARE AA+; Stable
Debt-Subordinate Debt - I	SEBI	Complex	INE729N08121	25-08-2026	8.70%	25-08-2032	375.00	CARE AA+; Stable
	SEBI	Complex	Proposed	-	-	-	125.00	CARE AA+; Stable
Debt-Subordinate Debt - II	SEBI	Complex	Proposed	-	-	-	500.00	CARE AA+; Stable
Fund-based-Long Term	RBI	Simple	-	-	-	November 2028	5000.00	CARE AA+; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debentures-Non Convertible Debentures	LT	500.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	1)CARE AA+; Stable (16-Dec-25) 2)CARE AA+; Stable	1)CARE AA+; Stable (19-Feb-25) 2)CARE AA+; Stable	-

						(07-Aug-25) 3)CARE AA+; Stable (06-Jun-25)	(02-Dec-24) 3)CARE AA+; Stable (14-Nov-24)	
2	Fund-based-Long Term	LT	5000.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	1)CARE AA+; Stable (16-Dec-25) 2)CARE AA+; Stable (07-Aug-25) 3)CARE AA+; Stable (06-Jun-25)	1)CARE AA+; Stable (19-Feb-25) 2)CARE AA+; Stable (02-Dec-24) 3)CARE AA+; Stable (14-Nov-24)	-
3	Debentures-Non Convertible Debentures	LT	500.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	1)CARE AA+; Stable (16-Dec-25) 2)CARE AA+; Stable (07-Aug-25) 3)CARE AA+; Stable (06-Jun-25)	1)CARE AA+; Stable (19-Feb-25) 2)CARE AA+; Stable (02-Dec-24)	-
4	Debentures-Non Convertible Debentures	LT	600.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	1)CARE AA+; Stable (16-Dec-25) 2)CARE AA+; Stable (07-Aug-25)	1)CARE AA+; Stable (19-Feb-25)	-

						3)CARE AA+; Stable (06-Jun-25)		
5	Debentures-Non Convertible Debentures	LT	425.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	1)CARE AA+; Stable (16-Dec-25) 2)CARE AA+; Stable (07-Aug-25) 3)CARE AA+; Stable (06-Jun-25)	-	-
6	Debentures-Non Convertible Debentures	LT	250.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	1)CARE AA+; Stable (16-Dec-25) 2)CARE AA+; Stable (07-Aug-25)	-	-
7	Debentures-Non Convertible Debentures	LT	825.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	1)CARE AA+; Stable (16-Dec-25)	-	-
8	Debt-Subordinate Debt	LT	500.00	CARE AA+; Stable	1)CARE AA+; Stable (20-Aug-26)	-	-	-
9	Debt-Subordinate Debt	LT	500.00	CARE AA+; Stable				

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact	Analytical Contacts
Mradul Mishra Director **CARE Ratings Limited** Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in **Relationship Contact** Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Vineet Jain Senior Director **CARE Ratings Limited** Phone: +91-22-6754 3623 E-mail: vineet.jain@careedge.in Hardik Manharbhai Shah Director **CARE Ratings Limited** Phone: +91-22-6754 3591 E-mail: hardik.shah@careedge.in Akansha Akshay Jain Associate Director **CARE Ratings Limited** Phone: +91-22-6754 3491 E-mail: akansha.jain@careedge.in

About us:
Established in 1993, CareEdge Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the Reserve Bank of India. With an equitable position in the Indian capital market, CareEdge Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CareEdge Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CareEdge Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit. For more information: www.careratings.com

For detailed Rating Report and subscription information, please visit www.careratings.com